

7.	30-2025-01518187 LoanDepot.com, LLC vs. West Capital Lending, Inc	1. Case Management Conference 2. Demurrer to Amended Complaint 3. Motion to Strike Portions of Complaint 1) <u>Demurrer</u> Defendants West Capital Lending, Inc., Daniel Iskander, and Eric Hines (collectively “Defendants”) demur to the second, third, fifth, and sixth causes of action to plaintiff loanDepot.com, LLC’s (“Plaintiff”) first amended complaint (“FAC”). As to the 2nd cause of action for CIVIL THEFT IN VIOLATION OF PENAL CODE §496 and 3rd cause of action for CONVERSION, Defendants’ sole argument is that these causes of action are preempted by CUTSA. However, it appears those causes of action include the alleged misappropriation of both trade secrets and other non-trade secret information such as “leads”. Whether or not “leads” are trade secrets cannot be decided on demurrer. Moreover, because a demurrer cannot be sustained if some portion of the factual allegations support the cause of action, (<i>Daniels v. Select Portfolio Servicing, Inc.</i>, 246 Cal. App. 4th 1150, 1167 (2016), <u>demurrer to the 2nd and 3rd causes of action are OVERRULED.</u> <u>Demurrer to the fraud causes of action (5th and 6th) are sustained with 20 days leave to amend for failure to plead with requisite specificity.</u> The traditional rule is that fraud actions are subject to a stricter pleading standard, because they involve a serious attack on defendant's character. Fairness requires that allegations of fraud be pleaded ‘with particularity’ so that the court can weed out nonmeritorious actions before defendant is required to answer. This is said to be the ‘last remaining habitat’ of common law pleading standards. [<i>Committee on Children's Television, Inc. v. General Foods Corp.</i> (1983) 35 C3d 197, 216; <i>Small v. Fritz Cos., Inc.</i> (2003) 30 C4th 167, 183.] As to the 5th cause of action for Concealment, Plaintiff urges that, taken as a whole, the entire FAC is about “a pattern of evasive delay tactics and hide the ball, evidencing an intent to deceive loanDepot.” (Opp page 12:12.) While this may be true, fraud requires specificity, and this Court should not have to weave through 98 paragraphs of a FAC to determine what, precisely, Plaintiff means by Defendants intended to defraud it. That is, there are no facts pled as to this element in the actual cause of action itself. As to the 6th cause of action for “Fraud and False Promise” it is clear from reading through ¶¶89-91 that no facts are pled in support of this cause of action. Rather, Plaintiff expects the Court to flip back and for the between the cause of action and the 87 prior paragraphs to ascertain the facts in support of the elements. The Court declines to do so. The cause of action needs to be pled with requisite specificity. Defendants to give notice. 2) <u>Motion to Strike</u> Defendants WEST CAPITAL LENDING, INC.; DANIEL ISKANDER; and ERIC HINES seek an order striking the following from the First Amended Complaint (“FAC”):
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- Paragraph 42 of the FAC: The words “restitution, disgorgement of profits, compensatory and punitive damage, and attorneys’ fees if any to the extent permitted by law.”
- Paragraph 98 of the FAC: The words: “restitution, disgorgement of profits or any amounts by which Defendants have been unjustly enriched as a result of their wrongful conduct, appointment of a receiver, constructive trust and”
- Prayer for Relief, par 6 at p. 26 of the FAC (in its entirety): “For an order that Defendants, and each of them, disgorge, and for an order imposing a constructive trust on, all property and profits wrongfully acquired by Defendants by means of the unfair business practices alleged in this Complaint, including all properties or investments in which such profits have been invested, either directly or by way of transfer to corporations or other businesses in which defendants have an interest;”
- Prayer for Relief, par 7 at p. 26 of the FAC (in its entirety): “For restitution of such profit and compensation derived by Defendants as a result of their unlawful, unfair, and fraudulent business practices.”

To start, FAC ¶42 is not pled in connection with any particular cause of action or prayer. The full paragraph states:

42. The unlawful business practices **and tortious conduct** of WCL, Iskander and Hines described above have caused loanDepot to suffer competitive harm, and WCL, Iskander and Hines have been unjustly enriched by their unlawful conduct. loanDepot now seeks all available relief and remedies for the harm caused by Defendants, including temporary, preliminary and injunctive relief, restitution, disgorgement of profits, compensatory and punitive damage, and attorneys’ fees if and to the extent permitted by law.

While Defendants seek to strike “restitution, disgorgement of profits, compensatory and punitive damage, and attorneys’ fees if any to the extent permitted by law” as not being permissible under the UCL, the argument ignores that the ¶¶ itself relates to “tortious conduct” as well. MP makes no argument that these remedies cannot awarded for tortious conduct.

Motion is DENIED as to FAC¶42.

Next, Defendants see to strike FAC¶98 which is included in the Unfair Business Practices cause of action.

In *Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1144, the California Supreme Court explained:

While the scope of conduct covered by the UCL is broad, its remedies are limited. (*Cel-Tech, supra*, 20 Cal.4th at p. 180, 83 Cal.Rptr.2d 548, 973 P.2d 527.) A UCL action is equitable in nature; damages cannot be recovered. (*Bank of the West v. Superior Court* (1992) 2 Cal.4th 1254, 1266, 10 Cal.Rptr.2d 538, 833 P.2d 545 (*Bank of the West*).) Civil penalties may be assessed in public unfair competition actions, but the law contains no criminal provisions. (§ 17206.) **We have stated that under the UCL,**

		“[p]revailing plaintiffs are generally limited to injunctive relief and restitution.” As such, to the extent ¶98 includes verbiage beyond injunctive relief or restitution, that Court strikes it without leave to amend. That is, the Court strikes “disgorgement of profits or any amounts by which Defendants have been unjustly enriched as a result of their wrongful conduct, appointment of a receiver, constructive trust” language from ¶98. Finally, as to striking any language from the <u>prayer</u>, the prayer is not organized by cause of action and Defendants fail to establish that this particular language or remedies are not appropriate to the other causes of action (beside UCL) in the FAC. Therefore, Motion to Strike portions of the Prayer is denied. Defendants to give notice.
8.	30-2023-01340665 Reyes vs. Chow	1. Case Management Conference 2. Motion to Deem Facts Admitted Plaintiffs Carlos Antonio Reyes and Maria Susana Enriquez (“Plaintiffs”) moves to deem Requests for Admission, Set One admitted against Defendant Julio Sanchez (“Defendant”). Plaintiffs also request \$772.50 in sanctions (\$60 filing fee plus 1.5 hours at \$475/hour). Code of Civil Procedure section 2033.280 provides that if a party to whom requests for admission are directed fails to serve a timely response, the party waives any objection to the requests. (Code Civ. Proc., § 2033.280.) The requesting party may also move for an order that the genuineness of documents and the truth of any matters specified in the requests be deemed admitted. (Code Civ. Proc., § 2033.280. subds. (a)-(b).) The court shall deem the matters admitted unless it finds that the party to whom the requests for admission have been directed has served, before the hearing on the motion, a proposed response to the requests for admission that is in substantial compliance with Section 2033.220. (Code Civ. Proc., § 2033.280, subd. (c).) Monetary sanctions are mandatory against the party or attorney who necessitated the motion unless the court finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. (<i>Ibid.</i>) Here, the discovery at issue was served on 08/05/2025. Defendant has not provided any responses. Defendant failed to oppose the motion and therefore did not proffer evidence establishing otherwise. Unless Defendant Julio Sanchez provides verified responses to Requests for Admission, Set One before the hearing on the motion, the motion will be GRANTED and Requests for Admission, Set One will be deemed admitted against Defendant Julio Sanchez. Plaintiffs’ request for sanctions is GRANTED in the reduced amount of \$535, (1 hour at \$475/hour plus \$60 for the filing fee) to be paid within 30 days of notice of this motion. Plaintiffs to give notice.